

stop will not be hit if that's the case.”

The triangle broke out upward in late 2007, I bought in, and it wobbled up and down before taking me out on a one-day selloff when the Dow industrials dropped 365 points (which was big for that time). About two weeks after I sold, the stock started tumbling from 31.83 where I sold to a bear market low of 13.61 (57% lower).

- Lesson: Keep your losses small before they become huge.

Celadon Group

In Celadon Group (CLDN changed to CGI) the reverse happened. I bought at the breakout, the stock dropped to the other side of the triangle, hitting my stop and taking me out of the trade.

It double busted the upward breakout by dropping for a week before climbing 54% (in a bear market, too) above my sale price. I was right in calling the direction (buying the upward breakout) with a good upside potential, but I didn't expect the stock to bust. My spreadsheet says I made a perfect entry and perfect exit on this trade.

- Lesson: Sometimes trades go wrong. I traded the stock perfectly but lost money (trading well helps avoid creating bad habits).

National Fuel Gas

National Fuel Gas (NFG) made an ascending triangle less than 2 months after exiting the bear market in 2009. I bought a small position in the stock. Nice timing.

The stock had trouble deciding on a direction. It moved up some, then reversed and dropped about the same amount as it had climbed. It didn't hit my stop, but the stock recovered and resumed the uptrend.

As it climbed, it made a measured move up chart pattern. That allowed me to set a price target at the top of the second leg. From my notebook: “The latest price tops the projection by 5 cents. Since today made a lower high, and quarterly [earnings] are coming, I expect bad news since other oil venues are suffering. Time to take the gain and exit. This has reached my 38-to-41 target.”